

coming quarters as well.”

Gaurav Dua, Senior Vice President and Head of Capital Market Strategy at Sharekhan by BNP Paribas, says, “Over the next 12-18 months, we see 10-15 per cent upside at the benchmark levels. [But], the returns could be much better in broader markets.”

Among sectors, capital goods, automotive and real estate have been the star performers so far in 2023. The BSE Capital Goods, Auto and Realty indices have jumped 22.14 per cent, 20.73 per cent, and 20.72 per cent, respectively, on a YTD basis. Meanwhile, the FMCG (fast-moving consumer goods) and Healthcare indices gained 16.27 per cent and 12.07

Another factor that lifted the mood on Dalal Street was the Reserve Bank of India’s decision to pause the hikes in interest rates as inflation showed signs of moderation. Sheth says this came as a boost to the real estate sector. “The strong business performance by realty companies and record pre-sales numbers led to a rally in the BSE Realty index. The recent project additions will help to continue the uptrend. A rate cut would further improve sentiment and demand... and could keep the momentum in the real estate sector going,” he adds.

Not all sectors gained, though. The BSE Oil & Gas index saw a 10.78 per cent decline YTD, which was the

However, the future of the IT sector looks bright, according to Amar Ambani, Head of Institutional Equities at YES Securities, despite the recent underperformance. “There is no doubt about the revenue potential for Indian IT services, so there’s no question of a bet against it. Technology cycles are long-term in nature. Presently, only 30 per cent of the IT workload has transitioned to the Cloud. Then there is the sunrise opportunity from AI (artificial intelligence) or machine learning-based tools. Indian IT companies have strengthened their relationship with hyperscalers, built dedicated teams and engaged in collaborative development. All these are key developments,” he says.

FPIs: BACK IN ACTION

Another noteworthy aspect was the return of foreign portfolio investors (FPIs). After an outflow of ₹1.21 lakh crore in 2022, FPIs poured nearly ₹76,407 crore into domestic equities till June 30.

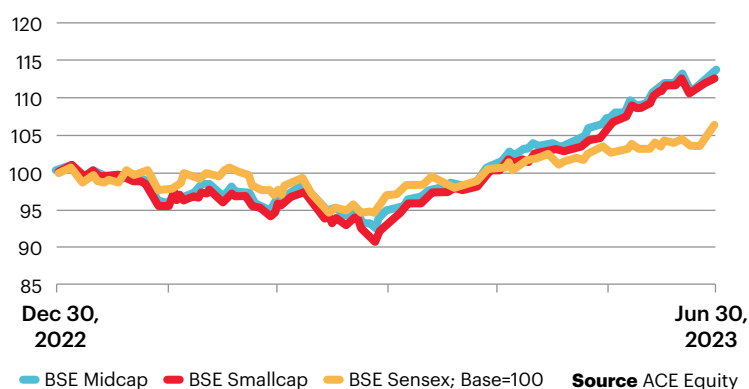
V.K. Vijayakumar, Chief Investment Strategist at Geojit Financial Services, says, “Globally, Japan continues to attract the biggest inflows, followed by India. Prospects of sectors like financials, automobile and capital goods sectors look good and they are likely to attract more inflows, going forward. However, FPI inflows are likely to moderate, going ahead, due to rising valuations in India.” Japan’s Nikkei index has gained around 25 per cent YTD.

Going ahead, although the entire market is expected to do well, analysts believe some sectors will stand out. Sandeep Raina, Head of Research at Nuvama Professional Clients Group, says, “Sectors like manufacturing (India is destined to be a big manufacturing hub), capex-driven sectors, banking, real estate and hotels are expected to do well. However, choosing the right stocks is of utmost importance as returns can be exceptional.” **BT**

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BEATING THE BENCHMARK

The small- and mid-cap indices outperformed the Sensex in H1



per cent, respectively.

Speaking about the top performers, Sheth of SAMCO Securities, says, “The government’s increased push towards infrastructure led to a surge in the order books of capital goods players. With this being a pre-election year, [their] order books are bound to swell further. This would ultimately get reflected in their financials.”

sharpest fall. The BSE Power index swung to an 8.45 per cent decline YTD, compared with a whopping 26 per cent gain last year, when it was the top performer. The BSE Bankex, which gained 21 per cent in 2022, has gained just 3.26 per cent so far in 2023. The BSE Information Technology (IT) index, which plunged 24 per cent last year, has recovered by 4.20 per cent in 2023.